

ADDIS PAY FINACIAL TECHNOLOGY SHARE COMPANY
AUDIT REPORT AND FINANCIAL STATEMENTS
FOR THE PERIOD ENDED (30 JUNE 2025)

TIBEBE MENGISTU CERTIFIED AUDIT FIRM
CHARTERED CERTIFIED ACCOUNTANTS (UK)
AUTHORIZED AUDITORS (ETH.)
ADDIS ABABA
ETHIOPIA

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY

We have audited the accompanying financial statements of Addis Pay Financial Technology Share Company which comprise the Balance Sheet as of 30 June 2025, and Income Statement, statement of Change in Equity and Statement of Cash Flow for the period then ended and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the accounting policies of the company. These responsibilities includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statement is free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of financial statements. We believe that our audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Addis Pay Financial Technology Share Company as at 30 June 2025, and the results of its operations and its cash flows for the year then ended in accordance with the accounting policies of the company.

We have received report of the directors of the company. Pursuant to Article 349(2) of the Commercial Code of Ethiopia; we recommend approval of the above mentioned financial statements.

Addis Ababa
29 October 2025



Tibebe Mengistu Certified Audit Firm
Chartered Certified Accountants

ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
BALANCE SHEET
AS AT 30 JUNE 2025

	<u>Notes</u>	<u>Birr</u>	<u>30.06.2024</u> <u>Birr</u>
ASSETS EMPLOYED			
NON CURRENT ASSETS			
Property, plant and equipment net	2.1,3	1,484,450	1,739,792
Preoperational cost	4	22,981,164	17,308,481
		24,465,615	19,048,274
CURRENT ASSETS			
Trade and Other Receivable	5	1,628,459	849,656
Cash At bank balance	6	36,099,402	1,302,978
		37,727,861	2,152,634
TOTAL ASSETS		62,193,475	21,200,908
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Paid up Capital	8	32,435,097	14,770,000
Retained earning(Loss)		(12,030,665)	-
Shareholders Payable		2,625,000	2,625,000
		23,029,432	17,395,000
CURRENT LIABILITY			
Profit tax payable		13,997	-
Trade and Other Payable	7	39,150,046	3,805,908
		39,164,043	3,805,908
TOTAL EQUITY AND LIABILITIES		62,193,475	21,200,908



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
STATEMENT OF PROFIT AND LOSS
FOR THE PERIOD ENDED 30 JUNE 2025

	<u>Note</u>	<u>Birr</u>	<u>2024</u> <u>Birr</u>
INCOME		559,872	-
OPERATING COST	9	3,864,886	-
GROSS PROFIT		(3,305,014)	-
INTEREST INCOME		2,376	-
EXPENSES			-
General and Administration		8,714,030	-
		8,714,030	-
PROFIT / (LOSS) FOR THE PERIOD		(12,016,668)	-
PROVISION FOR TAXATION(Minimum Tax)		13,997	-
		(12,030,665)	-
TRANSFER TO LEGAL RESERVE		-	-
		(12,030,665)	-



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2025

	<u>Registered Capital</u>	<u>Retained earning(Loss)</u>	<u>Total</u>
	<u>Birr</u>	<u>Birr</u>	<u>Birr</u>
Balance at 1 July 2024	14,770,000	-	14,770,000
Capital Incriment	17,665,097		17,665,097
Profit For the Period	-	(12,030,665)	(12,030,665)
Balance at 30 June 2025	<u>32,435,097</u>	<u>(12,030,665)</u>	<u>20,404,432</u>



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
CASH FLOW STATEMENT
FOR THE PERIOD ENDED 30 JUNE 2025

	<u>Birr</u>	<u>2024</u> <u>Birr</u>
Cash flow from operating activities		
Net profit before taxation	(12,016,668)	-
Depreciation and Amortisation	2,505,669	446,256
Decrease in trade and other receivables	(778,804)	(403,374)
Increase in trade and other payable	35,344,139	1,878,700
	25,054,336	1,921,582
INVESTING ACTIVITIES		
Acquisition of Property Plant and Preoperational cost	(161,131) (7,761,880)	(359,336) (11,294,885)
FINANCING ACTIVITIES		
Shareholders	-	15,000
Share Capital	17,665,097	1,295,000
	17,665,097	1,310,000
NET CASH (OUTFLOW) / INFLOW BEFORE FINANCING	52,461,520	(7,112,638)
CHANGE IN CASH AND BANK		
Cash and bank balance	34,796,423	(8,422,639)



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
NOTES TO THE ACCOUNTS
FOR THE PERIOD ENDED 30 JUNE 2025

1. BACKGROUND

Addis Pay Financial Technology Share Company (Under Formation) is under establishment to engage in a new Payment System Operator. This report is prepared in line with commercial code of Ethiopia 2013 Article 281. As detailed under Note No 6 both subscribed and paid up capital in line with the commercial Code Requirement.

2. ACCOUNTING POLICIES

The Accounting Policies adopted by the Company are as follows:

2.1 Fixed Assets

Property, plant and equipment are stated at cost less accumulated depreciation.

- for assets acquired after 30 Sene 2008 depreciation is charged on Diminishing method in line with Income Tax Proclamation No.979/2016 and corresponding Income Tax regulation Article 38 at the following rate.

Office furniture and equipment	20
Computer and software	25

2.2 Income and Expense Recognition

Accrual accounting concept is applied in recognition of Income and Expenses.

2.3 Stock

Stock is stated in the following manner

- i) Finished products, at average production cost.
- ii) Work in process, at raw material cost plus conversion cost
- iii) Raw materials at average cost.



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
NOTES TO THE ACCOUNTS
FOR THE PERIOD ENDED 30 JUNE 2025

3. FIXED ASSETS

	<u>Balance at</u> <u>1/7/2024</u> <u>Birr</u>	<u>Addition</u> <u>Birr</u>	<u>Balance at</u> <u>6/30/2025</u> <u>Birr</u>
COST			
Furniture and equipment	911,836	71,131	982,966
Computers and Information System	1,395,842	90,000	1,485,842
Others	24,328	-	24,328
	<u>2,332,006</u>	<u>161,131</u>	<u>2,493,137</u>
DEPRECIATION			
Furniture and equipment	244,359	145,680	390,039
Computers and Information System	323,526	270,793	594,319
Others	24,328	-	24,328
	<u>592,214</u>	<u>416,473</u>	<u>1,008,686</u>
NET BOOK VALUE	<u>1,739,792</u>		<u>1,484,450</u>

4. DEFERRED EXPENDITURE

	<u>Birr</u>	<u>30.06.2024</u> <u>Birr</u>
COST	17,308,481	6,013,596
Addition	<u>7,761,880</u>	<u>11,294,885</u>
	25,070,361	17,308,481
Accumulated amortisation	-	-
Less: Current year amortisation	<u>2,089,197</u>	-
#VALUE!	<u>2,089,197</u>	-
	<u>22,981,164</u>	<u>17,308,481</u>



ADDIS PAY FINANCIAL TECHNOLOGY SHARE COMPANY
NOTES TO THE ACCOUNTS
FOR THE PERIOD ENDED 30 JUNE 2025

5. TRADE AND OTHER RECEIVABLES

		<u>30.06.2024</u>
	<u>Birr</u>	<u>Birr</u>
Advance	69,460	69,391
Trade Receivable	134,540	
Sundry Debtors	401,355	216,907
VAT Receivable	1,023,104	563,357
	<u>1,628,459</u>	<u>849,656</u>

6. CASH AND BANK

		<u>2024</u>
Cash on Hand	2,687	-
Cash at bank		
Telle Birr Account	205,662	-
Buna Bank SC-AC No. 1029601000863	15,439	277,317
Settlement Account Balance	35,712,117	-
Commercial Bank of Ethiopia	115,020	980,000
Awash Bank SC	47,815	45,000
Amhara Bank A/C No	661	661
	<u>36,096,714</u>	<u>1,302,978</u>
	<u>36,099,402</u>	<u>1,302,978</u>

7. TRADE AND OTHER PAYABLE

		<u>2024</u>
Payable To Merchant	35,712,117	-
Accruals	1,191,170	1,605,290
Payroll Tax payable	1,281,726	1,915,734
Pension	909,682	269,214
Withholding Tax Payable	55,351	15,669
	<u>39,150,046</u>	<u>3,805,908</u>



8. CAPITAL

The Capital Structure of the company is as detailed Below

Name of Shareholders	<u>Subscribed Capital</u>	<u>Paid up Capital</u>	<u>Called Up Capital</u>
	<u>Birr</u>	<u>Birr</u>	<u>Birr</u>
Desta Assmamawe Amere	2,000,000	1,314,000	686,000
Ewnetu Abera	2,000,000	1,284,065	715,935
Hiwot Yemaneh	18,000,000	13,340,000	4,660,000
Mikyas Tamrat	500,000	328,000	172,000
Abraham Teshome	1,000,000	782,000	218,000
Biruk Gebreyes	500,000	159,000	341,000
Danieal Shibabaw	1,000,000	642,032	357,968
Wintayeshewas	2,500,000	1,693,000	807,000
Edenyeshewas	2,500,000	1,693,000	807,000
Brookyeshewas	8,500,000	5,135,000	3,365,000
Ruth Yeshewas	8,500,000	5,135,000	3,365,000
Tigist Gezahegn	2,000,000	680,000	1,320,000
Redieat Tsigebirhan	1,000,000	250,000	750,000
	<u>50,000,000</u>	<u>32,435,097</u>	<u>17,564,903</u>

9. OPERATING COST

	<u>Birr</u>	<u>2024 Birr</u>
Salary and Related Benefits	3,549,754	-
Transport and Perdiem	315,132	-
	<u>3,864,886</u>	-



10. ADMINISTRATIVE EXPENSE

		<u>Birr</u>	<u>2024</u> <u>Birr</u>
Salary and Related Benefits	1,918,884.37	1,918,884	-
Stationery and Office Supplies	59,029.80	59,030	-
Fuel and Lubricants	74,919.00	74,919	-
Transport and Perdiem	62,620.77	62,621	-
Communication	192,229.18	192,229	-
Rental-Server	380,843.85	380,844	-
Rental-Office	425,891.30	425,891	-
Rental-Car	144,000.00	144,000	-
Consulancy	75,000.00	75,000	-
Depreciation	416,473.31	416,473	-
Audit Fee		45,000	-
Amortisation	2,089,196.76	2,089,197	-
Repair and Maintenance	1,260.85	1,261	-
Cleaning and Sanitation	11,927.90	11,928	-
Advertising	2,605,071.54	2,605,072	-
Electricity and water	22,000.00	22,000	-
Bank Service Charges	1,398.15	1,398	-
Penalty	136,913.20	136,913	-
Entertainment	51,005.34	51,005	-
Miscellaneous	364.89	365	-
		<u>8,714,030</u>	-

